

THE WHIRLWIND

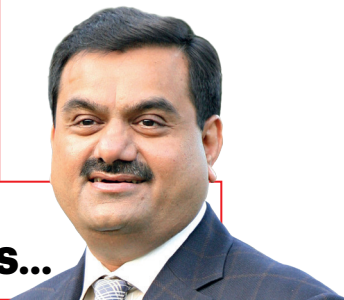
sion, Adani Wilmar and Adani Total Gas—was pegged at around ₹2.25 lakh crore at the end of FY22. Total assets, on the other hand, were valued at ₹4.1 lakh crore, per data from corporate database ACE Equity. Further, the cumulative net profit of the seven companies in FY22 was nearly ₹13,200 crore, with none in the red. Add recent acquisitions ACC, Ambuja Cements and NDTV to the mix, and the cumulative profit goes up to more than ₹18,800 crore. There is also the extra cushioning of the seven companies' total cash reserves of over ₹30,000 crore.

In addition, Vinit Bolinjkar, Head (Research) at Ventura Securities, points out that at the group level, the Ebitda generated is around ₹50,000 crore per year. "They could pull back on their investments in hydrogen or reduce the planned capacity in green energy. That will help reduce the debt levels," he says, adding that on the debt burden, the domestic piece is well backed by assets and healthy cash flows from its businesses. "In the international markets, the bonds have back-ended payments and there is no serious cause for concern. Their approach has been about projects with scale and a dominant market share. Now, that needs to be fine-tuned in a few places." Bolinjkar explains that projects like green energy give not just very high operating margins (in excess of 90 per cent) but also throw up enough cash to service existing debt.

Speaking of energy, in yet another setback, European multinational energy major TotalEnergies, which has a stake in Adani Total Gas and Adani Green, has put on hold its hydrogen partnership with the Indian conglomerate, although it said that its \$3.1-billion investment in the group is still healthy. "It makes no sense to add more (projects) until there is clarity. Adani has to explain the allegations," Patrick Pouyanne, CEO of TotalEnergies, said in an earnings call in early February.

Incidentally, rating agencies—whose words matter in the bond market—seem to be divided over their outlook on the Adani Group. S&P cut its outlook on two group firms (Adani Ports and Adani Electricity), and Moody's downgraded its outlook for Adani Green Energy, Adani Green Energy Restricted Group, Adani Transmission Step-One and Adani Electricity Mumbai from stable to negative. On the other hand, Fitch said loans to all Adani Group entities "generally account for 0.8-1.2 per cent of total lending for Fitch-rated Indian banks... Even in a distress scenario, it is

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